Question No. 01

An individual whose attitude towards risk is known as:

A. Risk Neutral
B. Risk Averse
C. Risk Loving
D. All of the above

Risk

Risk means to take a chance after the probabilities have been assigned. Risk is the possibility of gain or loss.

The odds ratio (OR) is the ratio of the probability of success to the probability of failure**. It can be equal to 1, less than 1** or **greater than 1**. If it is equal to 1 we call it fair odds, if **less then 1 unfavorable** odds, and if **greater 1 then favorable** odds

A **risk neutral person** is one who buys a good when OR > 1. He is indifferent when OR = 1 and will not buy when OR < 1. **(Utility Curve in Straight Line)**

A **risk averse person** will not buy if OR < 1. He will also not buy if OR = 1. He might also not decide to buy if OR > 1. **(Risk Premium Applies to that Person)**

A **risk loving person** will buy if OR > 1 or = 1, but he might also buy when OR is < 1.

(Good Attitude toward Risk)

Question No. 02

Which of the following branch of economics in which we have discuss about the **"What ought to be"**.

A. Normative Economics
B. Positive Economics
C. Both A and B
D. All of the above

Branches of Economics

Normative Economics is the branch of economics that deal with value judgments and particular policy actions should be recommended to achieve a desirable goal. **Normative economics discusses "what ought to be".**

For Example:

How money-supply growth affects inflation, but it also provides instructions that what policy should be followed.

Question No. 03

A market with few entry barriers and with many firms that sell differentiated products is:

A. **Perfect Competition**

B. **Monopoly**

C. **Monopolistic Competition**

D. **Oligopoly**

Market Structure

There are Four Major Types of Market Structure:

1. Perfect Competition

- Very Firm - Homogenous - Horizontal
- Freedom of Entry - Price Taker - Wheat

2. Monopoly

- One Firm - Unique - Downward Slope
- Restricted Entry - Control Price - WAPDA

3. Monopolistic Competition

- Many Firm - Different - Downward Slope
- Freedom of Entry - Price Taker - Plumber

4. Oligopoly

- Few Firm - Different - Downward Slope
- Restricted Entry - Price Change - Car, Cement

Question No. 04

Which of the following best expresses the law of demand?

A. **A lower price reduces demand.**

B. **A higher price reduces quantity demanded.**

C. **A higher price increases demand.**

D. **A lower price shifts the demand curve to the right.**

Law of Demand and Supply

1. Law of Demand

- ❑ It stated that when price is increase the demand for the product is decreases and vis versa.
- ❑ It is negative and downward slope.

2. Law of Supply

- ❑ It stated that when price is increase the supply for the product is also increases and vis versa.
- ❑ It is positive and upward slope.

Question No. 05

The maximum price that a consumer is willing to pay for a good is called:

A. The reservation price.

B. The first-degree price.

C. The market price.

D. The block price.

Market Price

1. Market Price

- The maximum price that a consumer is willing to pay for a good is called Market Price of the Product and Service:

Question No. 06

Marginal cost is equal to:

A. MC = FC + VC

B. MC = ΔTC/ΔQ

C. MC = TC / Q

D. MC = TC/ΔQ

Cost Analysis

1. Variable Cost: which vary with the level (or output), are called variable costs.

2. Fixed Cost: which do not vary with the level of activity or output, are called fixed costs.

3. Total Cost: Total cost (TC) is the sum of all fixed and variable costs.

TC = FC + VC

4. Average Cost: Total cost per unit of output, found by dividing total cost by the quantity of output.

AVC + AFC = ATC or AC AC = TC / Q

5. Marginal Cost: The change in total cost (or total variable cost) resulting from a change in the quantity of output produced by a firm in the short run.

MC = ΔTC/ΔQ

Question No. 07

AC_E stand for ________ .

A. Average cost curve for new entrant firm

B. Average consumption curve for new entrant firm

C. Average cost curve for new Entrance firm

D. All of the Above

Abbreviations

1. AC_E: = Average cost curve for new entrant firm

2. AC_M = Average cost curve for monopolist firm

Question No. 08

Which of the following system is bases on Quran and Sunnah.

A. Dictatorship

B. Command or Planned Economy

C. Free Market or Capitalist Eco

D. Islamic Economic System

Economic System

1. **Dictatorship:** is a system in which economic decisions are taken by the dictator .

2. **Command or Planned Economy :** resources are control by the Government and peoples are use these resource to produce goods and services.

3. **Free Market or Capitalist Economy:** is a mode of economic is which resources are in the hand of the general public.

4. **Islamic Economic System:** Economy is a mode of economic is which is based on Islamic value (Quran and Sunnah).

5. **Pakistan Economy:** A mixed economy system is a combination of different types of economic system. This economic system is a cross between a market economy and command economy.

Question No. 09

Which of the following approach used for profit maximization in short run?

A. AR-MR approach

B. MR-MC approach

C. TR-TC approach

D. None of the above

Profit Maximization

Profit maximization can be studied using the TR-TC approach and the MR-MC approach

1. TR-TC approach:

Features:

- Firm is price maker
- Firm is operating in short run.
- Total profit is the vertical distance between TR and TC.

4. MR-MC approach:

Features:

- Two steps are followed to identify maximum profit.
- **First**: the profit-maximizing output is identified – this is the point where MR cuts MC.
- **Second**: the size of maximum profit is calculated using AC and AR curves.

Question No. 10

When the demand for certain product is increase the demand curve is shifted to _________.

A. Leftward or Inward

B. Rightward or Inward

C. Leftward or Outward

D. Rightward or Outward

Change in Demand and Supply Curve

1. Demand

- It is negative and downward slope.
- When demand increase curve shift **Rightward**.
- When demand decrease curve shift **Leftward**.

2. Law of Supply

- It is positive and upward slope.
- When supply increase curve shift **Leftward**.
- When supply decrease curve shift **Rightward**.

Question No. 11

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

A. 1st Degree Price Discrimination

B. 2nd Degree Price Discrimination

C. 3rd Degree Price Discrimination

D. All of the above

Price Discrimination

Price Discrimination happens when a producer charges different prices for the same product to different customers.

1. 1st Degree (Ability to Pay)

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers. (Low from Poor Vis versa)

2. 2nd Degree (Quantities)

In this type, different prices charged to customers who purchase different quantities. (1 KG Apple, 5KG Apple).

3. 3rd Degree (Place)

In this type, seller charge different prices to different customers in different markets. (Coke Price in Lahore is Rs. 20 and Rs. 25 in Multan).

Question No. 12

The below characteristics are the characteristics of which of the following market structure.

- ❑ Very Firm
- ❑ Homogenous Product
- ❑ Price Taker

A. Perfect Competition

B. Monopoly

C. Monopolistic Competition

D. Oligopoly

Market Structure

There are Four Major Types of Market Structure:

1. Perfect Competition

- Very Firm - Homogenous - Horizontal
- Freedom of Entry - Price Taker - Wheat

2. Monopoly

- One Firm - Unique - Downward Slope
- Restricted Entry - Control Price - WAPDA

3. Monopolistic Competition

- Many Firm - Different - Downward Slope
- Freedom of Entry - Price Taker - Plumber

4. Oligopoly

- Few Firm - Different - Downward Slope
- Restricted Entry - Price Change - Car, Cement

Question No. 13

Which of the following is NOT a factor of Production?

A. **Land**
B. **Labor**
C. **Capital**
D. **Investment**

Factor of Production

There are Four Major Types of Factor of Production.

1. Land

Land is Natural resource and used as factor of Production.

2. Capital

Capital is the amount the a person invest into the business.

3. Labor

Labor are used to produce product and services for the firm.

4. Entrepreneurship

Entrepreneurship is a person or the activity of setting up a business or businesses, taking on financial risks in the hope of profit.

Question No. 14

Which of the following is NOT type of judging the behavior of consumer.

A. **Marginal Utility**
B. **Indifference Curve**
C. **Demand Analysis**
D. **Cardinal Approach**

Consumer Behavior

Two approaches used to analyzing consumer behavior;

1. Marginal utility analysis (Cardinal Approach)

Marginal utility approach involves cardinal measurement of utility.
Utility is the usefulness, benefit or satisfaction derived from the consumption of goods and services.
Total utility (TU) is the entire satisfaction one derives from consuming a good or service.
Marginal utility (MU) is the additional utility derived from the consumption of one or more unit of the good.

MU = P	Consume More until Price > MU
MU > P	Increase Consumption to fall MU
MU < P	Decrease Consumption to rise MU

2. Indifference curve approach (Ordinal approach)

This ordinal approach to utility consists in asking the question as to whether the consumer prefers one combination or bundle of goods to another combination or bundle of goods.

Question No. 15

Which of the following best expresses the law of supply?

A. A lower price reduces quantity supplied.

B. A higher price reduces quantity supplied.

C. A higher price not affect on supply.

D. A lower price shifts the supply curve to the right.

Law of Demand and Supply

1. Law of Demand

- It stated that when price is increase the demand for the product is decreases and vis versa.
- It is negative and downward slope.

2. Law of Supply

- It stated that when price is increase the supply for the product is also increases and vis versa.
- It is positive and upward slope.

Question No. 16

Which of the following are advantages of Monopoly?

A. Monopolists produce lower quantities

B. Earn Supernormal Profit

C. No attention on efficiency

D. All of the above

Monopolies

Disadvantages

- Monopolists produce lower quantities at higher prices
- Monopolists earn supernormal profits
- Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
- Monopolists do not pay sufficient attention to increasing efficiency in their production processes.

Question No. 17

In which of the following economic system all the decision are taken by a single person?

A. **Dictatorship**

B. Command or Planned Economy

C. Free Market or Capitalist Eco

D. Islamic Economic System

Economic System

1. Dictatorship: is a system in which economic decisions are taken by the dictator .

2. Command or Planned Economy : resources are control by the Government and peoples are use these resource to produce goods and services.

3. Free Market or Capitalist Economy: is a mode of economic is which resources are in the hand of the general public.

4. Islamic Economic System: Economy is a mode of economic is which is based on Islamic value (Quran and Sunnah).

5. Pakistan Economy: A mixed economy system is a combination of different types of economic system. This economic system is a cross between a market economy and command economy.

Question No. 18

Which of the following approaches are used for profit maximization?

A. TR-TC approach

B. MR-MC approach

C. AR-MR approach

D. **Both A and B**

Profit Maximization

Profit maximization can be studied using the TR-TC approach and the MR-MC approach

1. TR-TC approach:

Features:

- Firm is price maker
- Firm is operating in short run.
- Total profit is the vertical distance between TR and TC.

4. MR-MC approach:

Features:

- Two steps are followed to identify maximum profit.
- **First**: the profit-maximizing output is identified – this is the point where MR cuts MC.
- **Second**: the size of maximum profit is calculated using AC and AR curves.

Question No. 19

Which of the following is not types of price firms?

A. **Price Making Firm**

B. **Price Taking Firm**

C. **Price Decision Firm**

D. **None of the above**

Types of Prices Firms

1. Price Taking Firm: A firm that does not have the ability to influence market price is a price-taker. In perfect competition, the firm is price taker. There are large number of buyers and sellers and firm can not influence on the market price. Price is set by the forces of demand and supply.

2. Price Making Firm: A firm that influences the market price by how much it produces can be called a price-maker or pricesetter. In Monopoly, firm is price maker.

Question No. 20

Marginal Revenue is equal to:

A. **MR = TR + VR**

B. **MR = ΔTR/ΔQ**

C. **MR = TR / Q**

D. **MR = TR/ΔQ**

Revenue Analysis

Revenues are the sale proceeds that accrue to the firm when it sells the goods it produces; in other words, they are the cash inflows that the firm received by way of selling its products.

3. Total Revenue:

TR = P x Q.

4. Average Revenue:

AR = TR/Q

5. Marginal Revenue:

MR = ΔTR/ΔQ

Question No. 21

__________ is the branch of economics in which we have studies the part of the economy.

A. **Normative Economics**

B. **Positive Economics**

C. **Microeconomics**

D. **Macroeconomics**

Types of Economics

Microeconomics is a branch of economics that studies the parts of the economy.

For Example:

Demand, Supply, Market, Goods, Services, Price.

Macroeconomics is a branch of economics that studies the whole of the economy.

For Example:

Aggregate Production, Inflation, Unemployment.

Question No. 22

Which of the following is not type of behavior of person toward risk?

A. **Risk Neutral**

B. **Risk Averse**

C. **Risk Loving**

D. **None of the above**

Risk

Risk means to take a chance after the probabilities have been assigned. Risk is the possibility of gain or loss.

The odds ratio (OR) is the ratio of the probability of success to the probability of failure**. It can be equal to 1, less than 1** or **greater than 1**. If it is equal to 1 we call it fair odds, if **less then 1 unfavorable** odds, and if **greater 1 then favorable** odds

A **risk neutral person** is one who buys a good when OR > 1. He is indifferent when OR = 1 and will not buy when OR < 1. **(Utility Curve in Straight Line)**

A **risk averse person** will not buy if OR < 1. He will also not buy if OR = 1. He might also not decide to buy if OR > 1. **(Risk Premium Applies to that Person)**

A **risk loving person** will buy if OR > 1 or = 1, but he might also buy when OR is < 1.

(Good Attitude toward Risk)

Question No. 23

_________ is the charging different price of the same product from different customers.

A. Price Discrimination

B. Product Differentiation

C. Price Differentiation

D. All of the above

Price Discrimination

Price Discrimination happens when a producer charges different prices for the same product to different customers.

1. 1st Degree (Ability to Pay)

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers. (Low from Poor Vis versa)

2. 2nd Degree (Quantities)

In this type, different prices charged to customers who purchase different quantities. (1 KG Apple, 5KG Apple).

3. 3rd Degree (Place)

In this type, seller charge different prices to different customers in different markets. (Coke Price in Lahore is Rs. 20 and Rs. 25 in Multan).

Question No. 24

Land is best described as:

A. Factor of Production

B. Physical Recourse

C. "Naturally" occurring resources

D. All of the Above

Factor of Production

There are Four Major Types of Factor of Production.

1. Land

Land is Natural resource and used as factor of Production.

2. Capital

Capital is the amount the a person invest into the business.

3. Labor

Labor are used to produce product and services for the firm.

4. Entrepreneurship

Entrepreneurship is a person or the activity of setting up a business or businesses, taking on financial risks in the hope of profit.

Question No. 25

Which of the following is the goods whose quantity demanded goes down as consumer income increases?

A. Normal goods

B. Inferior goods

C. Giffen goods

D. All of the above

Types of Goods

Following are Major Types Products

1. Normal goods

are goods whose quantity demanded goes up as consumer income increases.

2. Inferior goods

are goods whose quantity demanded goes down as consumer income increases.

3. Giffen goods

are the sub category of inferior good. It is a rare type of good seldom seen in the real world, in which a change in price causes quantity demanded to change in the same direction (in violation of the law of demand). In other words, an increase in the price of Giffen good results in an ncrease in the quantity demanded.

Question No. 26

Total cost is equal to:

A. TC = FC + VC

B. MC = ΔTC/ΔQ

C. MC = TC / Q

D. MC = TC/ΔQ

Cost Analysis

1. Variable Cost: which vary with the level of activity (or output), are called variable costs.

2. Fixed Cost: which do not vary with the level of activity or output, are called fixed costs.

3. Total Cost: Total cost (TC) is the sum of all fixed and variable costs.

TC = FC + VC

4. Average Cost: Total cost per unit of output, found by dividing total cost by the quantity of output.

AVC + AFC = ATC or AC   AC = TC / Q

5. Marginal Cost: The change in total cost (or total variable cost) resulting from a change in the quantity of output produced by a firm in the short run.

MC = ΔTC/ΔQ

Question No. 27

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

A. Vertical

B. U-shaped

C. Upward-sloping

D. Downward-sloping

Demand & Diminishing Marginal Utility

1. Curve

- Both have negative and downward slope.

Question No. 28

AC_M stand for __________ .

A. Average cost curve for monopolist firm

B. Average consumption curve for monopolist firm

C. Average cost curve for new monopolist firm

D. All of the Above

Abbreviations

1. AC_E: = Average cost curve for new entrant firm

2. AC_M = Average cost curve for monopolist firm

Question No. 29

In which of the following approach the firm used two further steps profit maximization?

A. TR-TC approach

B. MR-MC approach

C. AR-MR approach

D. Both A and B

Profit Maximization

Profit maximization can be studied using t... approach and the MR-MC approach

1. TR-TC approach:

Features:

- Firm is price maker
- Firm is operating in short run.
- Total profit is the vertical distance between TR and TC.

4. MR-MC approach:

Features:

- Two steps are followed to identify maximum profit.
- **First**: the profit-maximizing output is identified – this is the point where MR cuts MC.
- **Second**: the size of maximum profit is calculated using AC and AR curves.

Question No. 30

Total Revenue is equal to:

A. $TR = P + AR$

B. $TR = \Delta TR / \Delta P$

C. $TR = P \times Q$

D. $TR = P / \Delta Q$

Revenue Analysis

Revenues are the sale proceeds that accru... when it sells the goods it produces; in other w... are the cash inflows that the firm received by way of selling its products.

3. Total Revenue:

$TR = P \times Q$.

4. Average Revenue:

$AR = TR/Q$

5. Marginal Revenue:

$MR = \Delta TR/\Delta Q$

Question No. 31

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

A. 1st Degree Price Discrimination

B. **2nd Degree Price Discrimination**

C. 3rd Degree Price Discrimination

D. All of the above

Price Discrimination

Price Discrimination happens when a producer charges different prices for the same product to different customers.

1. 1st Degree (Ability to Pay)

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers. (Low from Poor Vis versa)

2. 2nd Degree (Quantities)

In this type, different prices charged to customers who purchase different quantities. (1 KG Apple, 5KG Apple).

3. 3rd Degree (Place)

In this type, seller charge different prices to different customers in different markets. (Coke Price in Lahore is Rs. 20 and Rs. 25 in Multan).

Question No. 32

A market structure in which only a single firm are working and he has full control over price of their product and services is:

A. Perfect Competition

B. **Monopoly**

C. Monopolistic Competition

D. Oligopoly

Market Structure

There are Four Major Types of Market Structure:

1. Perfect Competition

- Very Firm	- Homogenous	- Horizontal
- Freedom of Entry	- Price Taker	- Wheat

2. Monopoly

- One Firm	- Unique	- Downward Slope
- Restricted Entry	- Control Price	- WAPDA

3. Monopolistic Competition

- Many Firm	- Different	- Downward Slope
- Freedom of Entry	- Price Taker	- Plumber

4. Oligopoly

- Few Firm	- Different	- Downward Slope
- Restricted Entry	- Price Change	- Car, Cement

Question No. 33

The concept of a risk premium applies to a person that is:

A. Risk Neutral

B. Risk Averse

C. Risk Loving

D. None of the above

Risk

Risk means to take a chance after the probabilities have been assigned. Risk is the possibility of gain or loss.

The odds ratio (OR) is the ratio of the probability of success to the probability of failure**. It can be equal to 1, less than 1** or **greater than 1**. If it is equal to 1 we call it fair odds, if **less then 1 unfavorable** odds, and if **greater 1 then favorable** odds

A **risk neutral person** is one who buys a good when OR > 1. He is indifferent when OR = 1 and will not buy when OR < 1. **(Utility Curve in Straight Line)**

A **risk averse person** will not buy if OR < 1. He will also not buy if OR = 1. He might also not decide to buy if OR > 1. **(Risk Premium Applies to that Person)**

A **risk loving person** will buy if OR > 1 or = 1, but he might also buy when OR is < 1.

(Good Attitude toward Risk)

Question No. 34

_________ is the branch of economics in which we have studies the economy as whole.

A. Normative Economics

B. Positive Economics

C. Microeconomics

D. Macroeconomics

Types of Economics

Microeconomics is a branch of economics that studies the parts of the economy.

For Example:

Demand, Supply, Market, Goods, Services, Price.

Macroeconomics is a branch of economics that studies the whole of the economy.

For Example:

Aggregate Production, Inflation, Unemployment.

Question No. 35

In which approach the consumer will prefers one combination or bundle of goods to another combination or bundle of goods.

A. Marginal Utility

B. Indifference Curve

C. Demand Analysis

D. Cardinal Approach

Consumer Behavior

Two approaches used to analyzing consumer behavior;

1. Marginal utility analysis (Cardinal Approach)

Marginal utility approach involves cardinal measurement of utility.

Utility is the usefulness, benefit or satisfaction derived from the consumption of goods and services.

Total utility (TU) is the entire satisfaction one derives from consuming a good or service.

Marginal utility (MU) is the additional utility derived from the consumption of one or more unit of the good.

$MU = P$	Consume More until Price > MU
$MU > P$	Increase Consumption to fall MU
$MU < P$	Decrease Consumption to rise MU

2. Indifference curve approach (Ordinal approach)

This ordinal approach to utility consists in asking the question as to whether the consumer prefers one combination or bundle of goods to another combination or bundle of goods.

Question No. 36

When the supply for certain product is increase the supply curve is shifted to ________.

A. Leftward

B. Rightward

C. No Affect

D. None of the given

Change in Demand and Supply Curve

1. Demand

- It is negative and downward slope.
- When demand increase curve shift **Rightward**.
- When demand decrease curve shift **Leftward**.

2. Law of Supply

- It is positive and upward slope.
- When supply increase curve shift **Leftward**.
- When supply decrease curve shift **Rightward**.

Question No. 37

Pakistan is falling in which type of the economic system?

A. Dictatorship
B. Command or Planned Economy
C. Free Market or Capitalist Eco
D. Mixed Economy System

Economic System

1. Dictatorship: is a system in which decisions are taken by the dictator .

2. Command or Planned Economy : resources are control by the Government and peoples are use these resource to produce goods and services.

3. Free Market or Capitalist Economy: is a mode of economic is which resources are in the hand of the general public.

4. Islamic Economic System: Economy is a mode of economic is which is based on Islamic value (Quran and Sunnah).

5. Pakistan Economy: A mixed economy system is a combination of different types of economic system. This economic system is a cross between a market economy and command economy.

Question No. 38

Which of the following is NOT type of economies of scale?

A. External economies
B. Internal economies
C. Incremental economies
D. None of the above

Economies of scale

The increase in efficiency of production as the number of goods being produced increases. Typically, a company that achieves economies of scale lowers the average cost per unit through increased production since fixed costs are shared over an increased number of goods.
There are two types of economies of scale:

1. External economies - the cost per unit depends on the size of the industry, not the firm.

2. Internal economies - the cost per unit depends on size of the individual firm.

Question No. 39

Which of the following NOT type of Elasticity?

A. **Price Elasticity of Demand**

B. **Price Elasticity of Supply**

C. **Income Elasticity of Demand**

D. **None of the above**

ELASTICITY

There are Four Major Types of Market Structure:

1. Price Elasticity of Demand

- Price
- Demand

2. Price Elasticity of Supply

- Price
- Supply

3. Income Elasticity of Demand

- Income
- Demand

4. Cross-Price Elasticity of Demand

- Price of Product A
- Demand for Product B

Question No. 40

Monopoly is which of the following types of prices firm?

A. **Price Making Firm**

B. **Price Taking Firm**

C. **Price Decision Firm**

D. **None of the above**

Types of Prices Firms

1. Price Taking Firm: A firm that does not have the ability to influence market price is a price-taker. In perfect competition, the firm is price taker. There are large number of buyers and sellers and firm can not influence on the market price. Price is set by the forces of demand and supply.

2. Price Making Firm: A firm that influences the market price by how much it produces can be called a price-maker or price setter. In Monopoly, firm is price maker.

Question No. 41

Which of the following branch of economics that does not provide any policy or course of action to followed to control situation.

A. **Normative Economics**

B. **Positive Economics**

C. **Both A and B**

D. **All of the above**

Branches of Economics

Normative Economics is the branch of economics that deal with value judgments and particular policy actions should be recommended to achieve a desirable goal. **Normative economics discusses "what ought to be".**

For Example:

How money-supply growth affects inflation, but it also provides instructions that what policy should be followed.

Positive Economics is the branch of economics that focuses on the description, quantification and explanation of economics developments, expectation and associated phenomena.

For Example:

How money-supply growth affects inflation, but it does not provides instructions that what policy should be followed.

Question No. 42

A market structure in which many firms are exist in the market but they offer different product and freedom for entry of new firm into the market is:

A. **Perfect Competition**

B. **Monopoly**

C. **Monopolistic Competition**

D. **Oligopoly**

Market Structure

There are Four Major Types of Market Structure:

1. Perfect Competition

- Very Firm - Homogenous - Horizontal
- Freedom of Entry - Price Taker - Wheat

2. Monopoly

- One Firm - Unique - Downward Slope
- Restricted Entry - Control Price - WAPDA

3. Monopolistic Competition

- Many Firm - Different - Downward Slope
- Freedom of Entry - Price Taker - Plumber

4. Oligopoly

- Few Firm - Different - Downward Slope
- Restricted Entry - Price Change - Car, Cement

Question No. 43

A reduced price may be offered if you buy the same t-shirts from local shop instead of Metro. This is an example of

A. **1st Degree Price Discrimination**

B. **2nd Degree Price Discrimination**

C. **3rd Degree Price Discrimination**

D. **All of the above**

Price Discrimination

Price Discrimination happens when a producer charges different prices for the same product to different customers.

1. 1st Degree (Ability to Pay)

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers. (Low from Poor Vis versa)

2. 2nd Degree (Quantities)

In this type, different prices charged to customers who purchase different quantities. (1 KG Apple, 5KG Apple).

3. 3rd Degree (Place)

In this type, seller charge different prices to different customers in different markets. (Coke Price in Lahore is Rs. 20 and Rs. 25 in Multan).

Question No. 44

__________ is the person who take risk to earn some profit from business.

A. **Land**

B. **Labor**

C. **Capital**

D. **Entrepreneurship**

Factor of Production

There are Four Major Types of Factor of Production.

1. Land

Land is Natural resource and used as factor of Production.

2. Capital

Capital is the amount the a person invest into the business.

3. Labor

Labor are used to produce product and services for the firm.

4. Entrepreneurship

Entrepreneurship is a person or the activity of setting up a business or businesses, taking on financial risks in the hope of profit.

Question No. 45

Which of the following risk person have straight line utility curve?

A. Risk Neutral

B. Risk Averse

C. Risk Loving

D. None of the above

Risk

Risk means to take a chance after the probabilities have been assigned. Risk is the possibility of gain or loss.

The odds ratio (OR) is the ratio of the probability of success to the probability of failure**. It can be equal to 1, less than 1** or **greater than 1**. If it is equal to 1 we call it fair odds, if **less then 1 unfavorable** odds, and if **greater 1 then favorable** odds

A **risk neutral person** is one who buys a good when OR > 1. He is indifferent when OR = 1 and will not buy when OR < 1. **(Utility Curve in Straight Line)**

A **risk averse person** will not buy if OR < 1. He will also not buy if OR = 1. He might also not decide to buy if OR > 1. **(Risk Premium Applies to that Person)**

A **risk loving person** will buy if OR > 1 or = 1, but he might also buy when OR is < 1.

(Good Attitude toward Risk)

Question No. 46

Which of the following is the goods whose quantity demanded and price are changes in same direction (increase or decrease)?

A. Normal goods

B. Inferior goods

C. Giffen goods

D. All of the above

Types of Goods

Following are Major Types Products

1. Normal goods

are goods whose quantity demanded goes up as consumer income increases.

2. Inferior goods

are goods whose quantity demanded goes down as consumer income increases.

3. Giffen goods

are the sub category of inferior good. It is a rare type of good seldom seen in the real world, in which a change in price causes quantity demanded to change in the same direction (in violation of the law of demand). In other words, an increase in the price of Giffen good results in an ncrease in the quantity demanded.

Question No. 47

__________ of economies of scale in which cost per unit depends on size of the individual firm?

A. External economies

B. Internal economies

C. Incremental economies

D. None of the above

Economies of scale

The increase in efficiency of production as the number of goods being produced increases. Typically, a company that achieves economies of scale lowers the average cost per unit through increased production since fixed costs are shared over an increased number of goods.

There are two types of economies of scale:

1. External economies - the cost per unit depends on the size of the industry, not the firm.

2. Internal economies - the cost per unit depends on size of the individual firm.

Question No. 48

Average Revenue is equal to:

A. AR = P + AR

B. AR = ΔTR / ΔP

C. AR = TR / Q

D. AR = P / ΔQ

Revenue Analysis

Revenues are the sale proceeds that accrue to a firm when it sells the goods it produces; in other words, they are the cash inflows that the firm received by way of selling its products.

3. Total Revenue:

TR = P x Q.

4. Average Revenue:

AR = TR/Q

5. Marginal Revenue:

MR = ΔTR/ΔQ

Question No. 49

Which of type of elasticity we need the price of a product and demand for and other product?

A. **Price Elasticity of Demand**

B. **Price Elasticity of Supply**

C. **Income Elasticity of Demand**

D. **Cross-Price Elasticity of Demand**

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ELASTICITY

There are Four Major Types of Market Structure:

1. Price Elasticity of Demand

- Price
- Demand

2. Price Elasticity of Supply

- Price
- Supply

3. Income Elasticity of Demand

- Income
- Demand

4. Cross-Price Elasticity of Demand

- Price of Product A
- Demand for Product B

Question No. 50

Average cost is equal to:

A. **TC = FC + VC**

B. **MC = ΔTC/ΔQ**

C. **AC = TC / Q**

D. **MC = TC/ΔQ**

Cost Analysis

1. Variable Cost: which vary with the level of activity (or output), are called variable costs.

2. Fixed Cost: which do not vary with the level of activity or output, are called fixed costs.

3. Total Cost: Total cost (TC) is the sum of all fixed and variable costs.

TC = FC + VC

4. Average Cost: Total cost per unit of output, found by dividing total cost by the quantity of output.

AVC + AFC = ATC or AC AC = TC / Q

5. Marginal Cost: The change in total cost (or total variable cost) resulting from a change in the quantity of output produced by a firm in the short run.

MC = ΔTC/ΔQ